

On My Mind: The Dr. Strangelove economy

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/fixed-income/on-my-mind-the-dr-strangelove-economy>

Extraction method: selenium

On My Mind: The Dr. Strangelove economy

Well, we've made it through one very interesting year: Changes in US tariff policy have upended long-standing global trade norms; fears of stagflation (combined economic stagnation and elevated inflation) have lingered but so far failed to materialize; the longest government shutdown on record has left us without key economic data; and excitement about generative artificial intelligence (GenAI) has spurred financial markets' enthusiasm to new heights and raised both utopian and dystopian expectations. And these are just the highlights.

What do we make of all this, and what should we expect in 2026 for the economy and markets?

Uncertainty and volatility, in short. But let me be more specific.

I maintain a constructive outlook for US growth. Household consumption has proved resilient, and in the early part of next year will be goosed by a substantial fiscal stimulus, estimated by Brookings at well above one percentage point of gross domestic product growth for the year. Moreover, the Federal Reserve (Fed) has gifted us with a meaningful easing in monetary policy. And the artificial intelligence (AI)-focused investment boom is set to continue. Last but not least, I expect the faster pace of productivity growth that we have enjoyed over the past couple of years should be sustained into 2026 and beyond.

There is a lot of uncertainty, however, and some signs of weakness in both employment and investment. The unemployment rate has crept up, albeit to still low absolute levels, and companies seem reluctant to hire. The quality of labor-market data has gotten very shaky, so it's hard to gauge the extent of the underlying weakness, but weakness there is. Outside of the AI development boom, companies might still be hesitant to invest, though it might just be taking longer for the carrot of accelerated investment depreciation to translate into new capital expenditure (capex) decisions.

Strong Labor Productivity Continues to Offset Labor Market Softness

1996?2025

Sources: BEA, BLS, Macrobond. Analysis by Franklin Templeton Fixed Income Research. As of December 16, 2025.

Stagflation risk remains, but it's just not evenly distributed. I see the balance skewed toward inflation risks, especially in the first part of 2026. That's when additional fiscal stimulus will likely put more money in consumers' pockets, and if tariff rebate checks actually materialize, they would provide a further boost to purchasing power. This could reignite consumer spending, adding to an extended AI investment boom. A similar dynamic to the post-COVID-19 recovery, though on a smaller scale, which might push inflation toward a 3.50%-4.00% range.

Another jump in the price level, in an environment that could make it harder for wages to catch up, could slow consumer spending somewhat later in the year. Non-AI investment might take longer to accelerate. The extended, remarkable outperformance of AI stocks poses another risk. I believe advances in GenAI will gradually fuel efficiency-enhancing business applications. And the major investments in chips, data centers and power generation could boost the economy's growth potential—these are not bridges to nowhere. But the market excitement may have run ahead of what GenAI can deliver in the short term, creating the risk of a temporary market adjustment. If that materializes, it would be an additional headwind for growth, but a temporary one. Overall, I see risks to growth as less pronounced, and my baseline is for economic activity to remain upbeat.

Conversely, I still do not see the conditions for inflation to come back to 2%. The Fed has now cut interest rates by a cumulative 175-basis points (bps), taking the fed funds rate to 3.50%-3.75%. The easing has been excessive, in my mind, but not entirely unreasonable. With inflation stable, albeit still well above target, I can understand the doves' desire to get ahead of a possible sharper rise in unemployment. The marked division within the Federal Open Market Committee, though, underscores that inflation risks are still alive and kicking. While Fed Chair Jerome Powell has argued that the fed funds rate is still within a reasonable estimate of the neutral rate, a rebound in inflation would quickly turn the real policy rate negative, which would seem inappropriate in an economy running at or above potential.

Even more significant, in my view, is the Fed's decision to expand the balance sheet anew with purchases of short-term Treasuries. Powell justified this with the need to maintain ample reserves in the banking system. In practice, though, the Fed will keep funding a perennially large government deficit, and fiscal dominance will continue to shape the monetary stance of a central bank already dovish by nature and by institutional memory. A sustained large fiscal deficit aided and abetted by central bank purchases of government bonds won't help bring inflation down to target.

This persistent and significant uncertainty on both inflation and growth risks implies prolonged volatility in financial markets, in my view. The 10-year US Treasury yield is higher than it was in August 2024, before the Fed started its 175-bps reduction in the policy rate—inflation as measured by the core personal consumption expenditures index is essentially unchanged since then. The corresponding steepening in the yield curve speaks to both confidence in economic growth and underlying concern about the pressures from loose fiscal policy. Developments in unemployment and inflation could keep long-term yields on a moderate roller-coaster ride in 2026, and my baseline has the risks skewed moderately to the upside.

The Fed Caught Between Inflation and Labor Market Tension; 10-Year UST Has Been Moving Sideways, Showing Economic Confidence and Fiscal Concerns

2021-2025

Sources: Fed, BEA, US Treasury, BLS, Macrobond. Analysis by Franklin Templeton Fixed Income Research. As of December 16, 2025.

For financial markets, macro is back in the driver's seat in a way we haven't seen in some time. Zero Interest Rate Policy is a fond distant memory, carry has its due—and the regime shift is bigger than just rates: a more multipolar geopolitical order, China's structural slowdown, Japan's reflation, Europe's planned defense spending boost, and AI advances which could extend the productivity renaissance. Against a constructive (though uneven) growth backdrop, I don't expect a sharp rise in corporate defaults, but with spreads near record highs and heavy issuance, further tightening looks limited. I think the Fed will be cautious on additional easing—especially if fiscal tailwinds keep inflation sticky—so duration looks unattractive and investors would be wise to stay nimble while harvesting today's fairly attractive yields. With the US dollar still historically strong despite 2025's depreciation, I believe global and emerging market diversification will likely play an increasingly important role in 2026 investment strategies. Finally, with valuations elevated and labor dynamics challenged, US growth looks increasingly levered to AI capex and the equity wealth effect—in my view creating clear winners and losers and making active management critical to navigate volatility and find the best pockets of value.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

Asset-backed, mortgage-backed or mortgage-related securities are subject to prepayment and extension risks.

Equity securities are subject to price fluctuation and possible loss of principal.

Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls.

Floating-rate loans and debt securities are typically rated below investment grade and are subject to greater risk of default, which could result in loss of principal.

Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default.

There is no assurance that any estimate, forecast or projection will be realized.

WF: 7883359

View more about Franklin Templeton Fixed Income and the strategies they manage.

CONTRIBUTORS

Sonal Desai, Ph.D.

Chief Investment Officer, Franklin Templeton Fixed Income

Related Content

Macro Views: Resilient regions, rising risks?2026 economic outlook

Sector Views: Proceed with caution

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.